10. INCOME TAXES

The provisions for income taxes consisted of the following for the years ended August 31:

	2000	1999	1998
Currently payable:			
United States	$ 3.1	$ 2.1	$ 1.7
Foreign	12.3	16.7	19.1
Taxes on repatriation of foreign earnings	4.1	5.7	4.7
Total current	19.5	24.5	25.5
Deferred:			
United States	(2.9)	0.3	(0.2)
Foreign	5.3	1.6	(4.9)
Total deferred	2.4	1.9	(5.1)
	$ 21.9	$ 26.4	$ 20.4

The source of pre-tax earnings was:

	2000	1999	1998
United States	$ 26.2	$ 6.2	$ 1.2
Foreign	40.7	64.2	33.0
Total	$ 66.9	$ 70.4	$ 34.2

A reconciliation of income taxes with the amounts computed at the statutory federal rate follows:

	2000	1999	1998
Computed tax at federal statutory rate	$ 23.4	$ 24.6	$ 12.0
Increases (decreases) in taxes resulting from:			
Foreign tax rates other than domestic rate	(2.0)	(3.1)	(2.7)
Taxes on repatriation of foreign earnings	4.1	5.7	4.7
U.S. foreign tax credits	(3.0)	(4.0)	(2.0)
Provision for valuation allowance*	(3.7)	0.2	3.0
Incremental taxes allocated by Ralston	-	-	1.1
Other, net	3.1	3.0	4.3
	$ 21.9	$ 26.4	$ 20.4

* The provision for valuation allowance will not necessarily equal the change in valuation allowance due to the effect of changes in exchange rates.

At August 31, deferred tax assets and deferred tax liabilities recorded on the balance sheet are as follows:

	2000	1999
Deferred Tax Liabilities:		
Depreciation and property differences	$ 6.3	$ 7.1
Inventory differences	5.4	4.5
Retirement plans	0.9	3.4
Other tax liabilities, current	0.2	0.6
Other tax liabilities, non-current	12.4	10.1
Gross deferred tax liabilities	$ 25.2	$ 25.7
Deferred Tax Assets:		
Tax loss carryforwards	$ (12.1)	$ (11.2)
Accrued expenses	(5.8)	(7.2)
Depreciation and property differences	(4.6)	(6.3)
Tax credits	(2.5)	(6.1)
Other tax assets, current	(3.4)	(7.3)
Other tax assets, non-current	(3.1)	(3.6)
Gross deferred tax (assets)	$ (31.5)	$ (41.7)
Valuation allowance	13.3	19.7
Net deferred tax liabilities	$ 7.0	$ 3.7

Approximately $0.1 of tax loss carryforwards and tax credits expired in 2000. Future expiration of tax loss carryforwards and tax credits, if not utilized, are as follows: 2001 - $0.2, 2002 - $1.0, 2003 - $2.6, 2004 - $3.5, 2005 - $2.9 and beyond - $4.4. The valuation allowance at August 31, 2000 is primarily attributed to certain tax loss carryforwards generated outside the United States. If it becomes evident that sufficient future taxable income will be available in the tax jurisdictions where these deferred tax assets exist, the Company would release the valuation allowance accordingly.

In 2000, the Company reversed a $6.8 valuation allowance that was carried against foreign tax credit carryforwards and other deferred tax assets in the United States at August 31, 1999. Due to recently implemented tax planning initiatives, the Company now believes it will generate sufficient foreign source taxable income in the United States to realize a tax benefit for those deferred tax assets.

At August 31, 2000, approximately $100 of foreign subsidiary net earnings was considered permanently invested in those businesses. Accordingly, U.S. income taxes have not been provided for such earnings. It is not practicable to determine the amount of unrecognized deferred tax liabilities associated with such earnings.

Prior to the Distribution Date, U.S. income tax payments, refunds, credits, provision and deferred tax components were allocated to Agribrands in accordance with Ralston's tax allocation policy. Such policy allocated tax components included in the consolidated income tax return of Ralston to Agribrands to the extent such components were generated by or related to Agribrands. Tax payments due on income earned prior to the Distribution Date are the responsibility of Ralston.

Had Agribrands' income tax provision been calculated as if Agribrands was a single, stand-alone U.S. taxpayer during periods prior to the Distribution Date, the income tax provision would have been lower by approximately $1.1 in the seven months ended March 31, 1998.